IV

I rarely expressed in public my deeper concern that some of the criticism was from quarters that were motivated by their interests rather than economic logic. But in my last speech on inflation, delivered at the RBI on Statistics Day, 26 July 2016, I wondered why uninformed critics were getting so much air time. An excerpt from that speech follows, which ends welcoming the institutionalization of the fight against inflation. Perhaps, years from now, we will wonder why any of this was worth debating.

Debate without Theory or Evidence

Why is it that as we seem to be bringing inflation under control, public voices to abandon the fight are loud? Why is the debate uninfluenced by the data? I don't know for sure but let me hazard a guess; is it possible the political economy of inflation is different from the received wisdom we were taught in class as students?

Specifically, despite all the political breast-beating about inflation and worries about its pernicious effect on the weaker sections of society, there seems to be surprisingly little public anxiety about inflation so long as it stays in the high single digits. Industrialists welcome negative real rates of interest for obvious reasons – it keeps their cost of funding low. Many middle-class savers value the high nominal interest rates on their fixed deposits, not realizing that their principal is eroding significantly every year. The Keynesian economist is happy because monetary policy is extremely accommodative. The analysts cheer every cut in interest rates, no matter the consequences to inflation, because markets are assumed to have a Pavlovian positive response to rate cuts. Even the poor are inured to their fate of seeing real incomes erode, and are only aggrieved when the price of some food staple skyrockets. Interestingly, short-term spikes in food staples